

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$105.63 ▲ 2.05%	12M Price Target \$130.00	52-Week Range \$63.52 – \$153.86	Market Cap \$94.97B
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HOOD: Prediction Markets Boom + Morgan Stanley Upgrade

WHAT HAPPENED

- Morgan Stanley upgraded HOOD this morning and hiked their price target, specifically citing the football season prediction markets boom — this matters because prediction markets (basically betting on real-world outcomes like sports, elections, econ data) are HOOD's newest revenue stream and Wall Street is finally putting real numbers on it.
- Pons (HOOD's onchain platform) reportedly out-earned Hyperliquid, Polymarket, and Fomo combined in 24 hours of fees — translation: HOOD's crypto/DeFi ambitions are actually working, not just a slide-deck story.

WHY IT MATTERS

The setup here is unusually good: HOOD is monetizing three trends at once — retail crypto (Pons/Robinhood Chain), prediction markets (NFL season just started, perfect timing), and traditional equity trading (retail is still piling into NVDA). The Morgan Stanley upgrade probably forces other sell-side desks to revisit their models, which usually creates a slow drip of upgrades over the next few weeks. Options flow is loudly bullish (call/put ratio of 0.28 means way more people betting up than down, and there's a big \$107 call buyer for September — someone's positioning for a breakout). The one flag: the stock is at 47% of its 52-week range and just bounced off \$103, so this is a coiled spring, not a bargain — you're paying for momentum.

POLICY & POLITICAL WATCH

The big political tailwind: the current administration's CFTC and SEC have been notably permissive on prediction markets and crypto — a stark shift from the prior regime that was suing Robinhood over crypto listings. The CLARITY Act and related crypto market structure legislation working through Congress would formally legalize much of what HOOD is already doing on-chain, removing the regulatory overhang entirely. Watch for any state-level pushback on sports-adjacent prediction markets (a few AGs are grumbling that it's unregulated sports betting) — that's the real near-term policy risk, not federal.

IS IT EXPENSIVE?

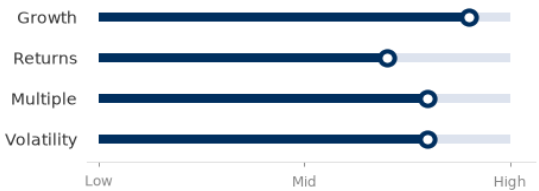
At ~\$95B market cap on roughly \$4.2B in expected revenue, you're paying about \$22 for every \$1 of sales — that's rich versus Schwab or IBKR (both under \$10), but HOOD is growing revenue 40%+ while they grow 10-15%. On earnings, ~57x forward P/E (paying \$57 for every \$1 of profit) looks expensive until you realize EPS is expected to nearly double by 2027. Not cheap, but the growth justifies it if prediction markets and crypto keep compounding.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$105.63
12M Price Target	\$130.00
Upside / (Downside)	+23.1%
Market Cap	\$94.97B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,350M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	57.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$118.00	\$110.00	\$95.00
6 Months	\$140.00	\$122.00	\$88.00
1 Year	\$165.00	\$130.00	\$80.00
2 Years	\$220.00	\$160.00	\$70.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials and Comm Services led today, but Financials (+0.73%) — HOOD's home — is quietly firming after a weak week. The bigger sector-level story is fintech separating from traditional banks: HOOD, COIN, and prediction-market names are trading like their own category now.

COOLING OFF: Traditional fintech lending (SOFI got called out today for underperforming) — rate cut expectations aren't helping consumer credit names the way they're helping trading/asset-light platforms.

ROTATION WATCH: Money is rotating from lending-based fintech (SOFI) into trading/platform fintech (HOOD, COIN) — the market is picking winners based on who benefits from the crypto+prediction market regulatory thaw.

RELATED PLAY: If HOOD's prediction market thesis works, the exchanges providing the plumbing (CME, ICE) and the crypto rails (COIN) benefit too — COIN is the cleanest second-order play.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-friendly regulatory wave and benefiting from onchain volume growth that Pons is now competing for.
- IBKR (Interactive Brokers): Quietly compounding on higher trading volumes and international expansion — the "boring" way to play the retail trading boom.

HOOD CONTEXT: HOOD is leading its peer group on growth but lagging on today's tape (up 2% vs sector +0.7% — actually outperforming). The upgrade cycle looks like it's just starting, which historically means the stock keeps working for weeks, not days.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Multiple catalysts stacking (NFL season, crypto tailwind, sell-side upgrade cycle, friendly regulators), but I'm holding back one point because the stock isn't cheap and momentum names can gap down hard.

POSITION SIZE: 3-5% of portfolio — real upside but real volatility; don't oversize just because it's working.

ENTRY POINTS: Add on pullbacks to \$98-103 (that's been the recent support zone); chasing above \$110 into a Morgan Stanley upgrade is dangerous.

TIME HORIZON: 12-24 months — the catalyst path is NFL season Q4 earnings, crypto legislation vote, and 2027 EPS estimates getting revised up.

WHEN TO BAIL: If crypto trading revenue drops >30% in a quarter, if the CFTC signals it's reconsidering prediction market approvals, or if Vlad Tenev unexpectedly sells a big block.

HEDGING: Cheapest hedge is buying a small out-of-the-money put for 3-6 months out (basically insurance that pays off if the stock crashes) — or just size the position smaller and sleep better.